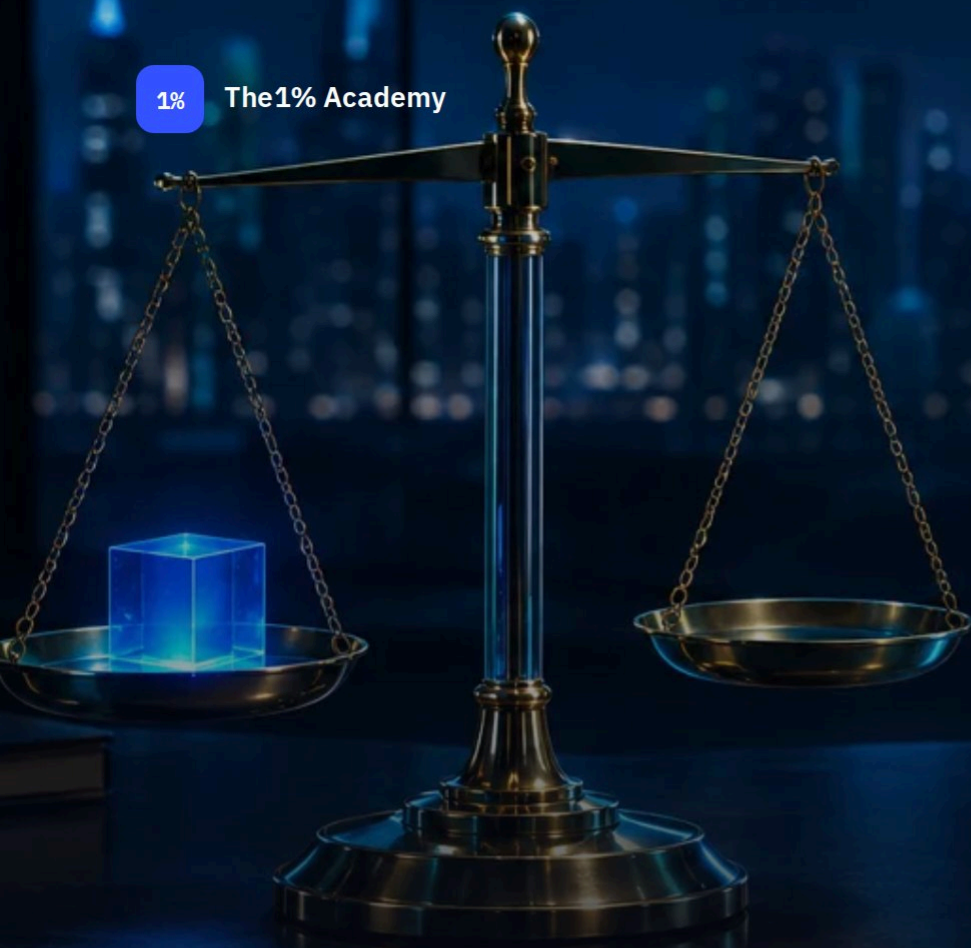


1%

The1% Academy

WORKBOOK · EDITION 1



RISK & MONEY MANAGEMENT · BEGINNER

Risk Management Masterclass

The1% Workbook

The 1% rule, stop placement, daily rails and drawdown control. Every lesson, chart and practice task from the course, with space for your own notes.

6

LESSONS

6

CHARTS

10

QUIZ QUESTIONS

~5h

STUDY TIME

What you will learn

- ✓ Explain why professional traders risk around 1% per trade, using the maths of losing streaks.
- ✓ Calculate the correct position size for any account, instrument and stop distance.
- ✓ Place stops at structure, measure every trade in R, and know the win rate your strategy needs.
- ✓ Run daily rails and a drawdown plan that keep one bad week from becoming a blown account.

Contents

THE RULE

01	Why 1%: the maths of survival	9 min
02	Position sizing for any market	11 min

STOPS AND R

03	Stops that respect structure	9 min
04	R multiples and expectancy	10 min

RAILS

05	Daily rails: loss limit, trade cap and cool-off	8 min
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DRAWDOWN CONTROL

06	Drawdown, recovery maths and step-down sizing	10 min
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FINAL

Q	Final quiz and answer key	10 questions
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How to use this workbook

- Read one lesson at a time, then do its practice task on a real chart before moving on.
- Use the notes space at the end of each lesson to write what you saw in the market, not what the page says.
- Take the final quiz without looking back. Then check the answer key and revisit any lesson you missed.
- Take the same quiz online in the The1% Academy to earn your certificate.

Why 1%: the maths of survival

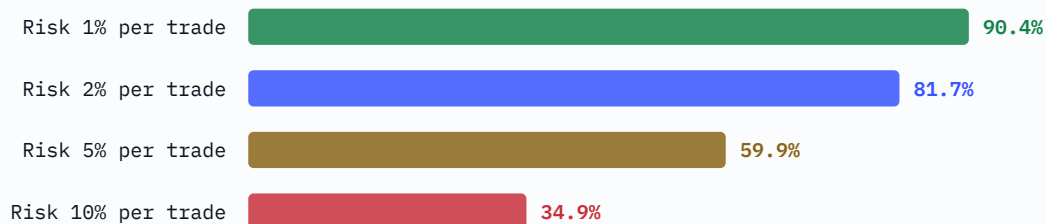
Losing streaks are guaranteed. Your risk per trade decides whether a streak is an annoyance or the end of the account.

Streaks are normal

A strategy that wins 45% of the time will, over a few hundred trades, almost certainly hit eight or more losses in a row. That is not bad luck; it is what 45% means. The only question is how much of the account is left afterwards.

Account left after 10 losses in a row

% OF STARTING BALANCE



At 1%, ten losses cost under 10%. At 10%, the same streak costs two thirds of the account, and the trader needs a 187% gain just to get back.

Risk of ruin

Risk of ruin is the chance of losing so much that you can no longer trade your plan. It rises very fast with risk per trade. Keeping risk small does not make you less profitable over time; it keeps you in the game long enough for your edge to show.

The 1% default: risk 1% of the account per trade. Newer traders and prop firm challenges often use 0.5%.

KEY TAKEAWAYS

- Losing streaks are a certainty, not a possibility.
- Risk per trade decides how deep a streak goes.
- 1% per trade survives almost any normal streak.

COMMON MISTAKES

- Raising risk to 'make it back faster'.
- Thinking a high win rate makes big risk safe.
- Measuring risk in lots instead of as a percent of the account.

PSYCHOLOGY CHECK

Small risk is what makes calm possible. It is hard to follow a plan when one trade can decide your month.

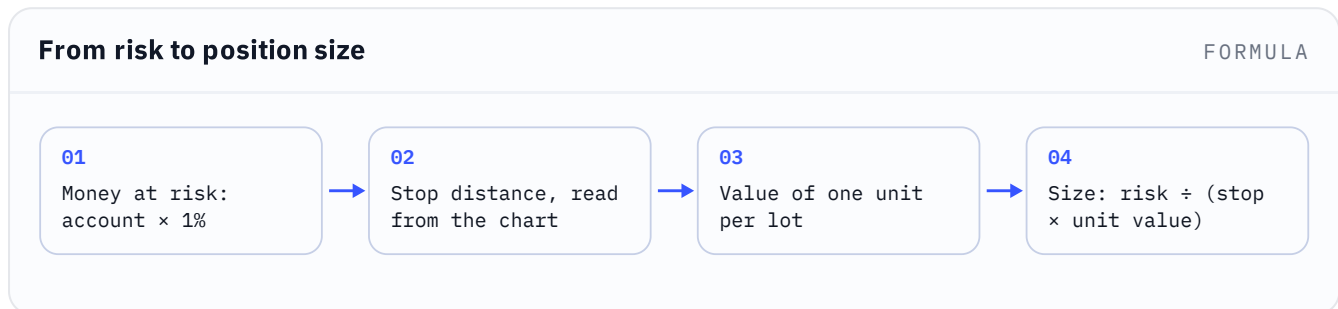
PRACTICE TASK

Find your longest losing streak in the journal. Calculate what it would have cost at 1%, 2% and 5% risk.

Position sizing for any market

The lot size is the last thing you decide, not the first. It comes from your risk, your stop distance and the value of one unit of movement.

The formula



Two worked examples

- Forex: \$5,000 account, 1% = \$50. EUR/USD stop is 25 pips. One standard lot is worth about \$10 per pip. Size = $50 \div (25 \times 10) = 0.20$ lots.
- Gold: same \$50 risk. Stop is \$4.00 away. One lot is 100 ounces, so a \$4 move is \$400 per lot. Size = $50 \div 400 = 0.125$, rounded down to 0.12 lots.
- Always round down. Rounding up means risking more than you planned.

Pip and point values change with the instrument and your account currency. Use the position size calculator rather than memorising them.

The stop sets the size, not the other way round

Beginners pick a lot size they like and squeeze the stop to fit. Professionals put the stop where the idea is wrong and let the size shrink to fit. A wider stop simply means a smaller position; the money at risk stays the same.

KEY TAKEAWAYS

- Size = money at risk $\div$ (stop distance $\times$ value per unit).
- Put the stop at structure first, then size.
- Round down, always.

COMMON MISTAKES

- Using the same lot size on every trade.
- Tightening the stop to afford a bigger size.
- Forgetting that gold, indices and JPY pairs have different unit values.

PSYCHOLOGY CHECK

When the size is calculated, not chosen, a loss is just the planned cost. That removes most of the sting.

PRACTICE TASK

Calculate the size for five of your recent trades using the formula, then check each with the calculator.

Stops that respect structure

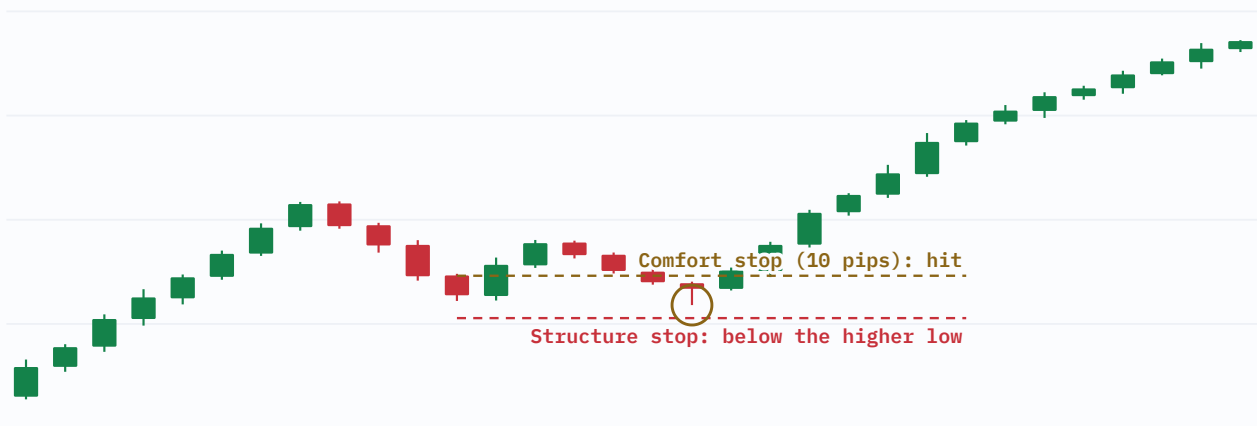
A stop belongs where your trade idea is proved wrong, plus a buffer. Anywhere else, it is either too tight or pointlessly wide.

Structure stops versus comfort stops

A structure stop sits beyond the swing, zone or wick that your idea depends on. A comfort stop is a round number of pips chosen because it 'feels' right. Comfort stops tend to sit exactly where normal pullbacks reach.

Tight comfort stop versus structure stop

COMPARISON



The pullback tagged the comfort stop and then rallied. The structure stop sat below the higher low and survived.

Volatility and buffers

- Add a buffer beyond the level: spread plus a small margin for noise.
- On volatile instruments, use a fraction of the average true range as the buffer.
- Never move a stop further away once the trade is live. You can only move it closer.

KEY TAKEAWAYS

- Stop where the idea is wrong, plus a buffer.
- Structure first, size second.
- Stops only move in your favour.

COMMON MISTAKES

- Round-number comfort stops.
- Stops exactly on the level, with no buffer.
- Widening a stop to avoid a loss.

PSYCHOLOGY CHECK

Moving a stop wider is hope disguised as analysis. Decide the stop before entry, when you are calm, and never touch it in the wrong direction.

PRACTICE TASK

Review your last ten losing trades. How many stops were at structure, and how many were comfort stops?

R multiples and expectancy

Measure every trade in R, the amount you risked. Then one number, expectancy, tells you whether your strategy makes money.

Thinking in R

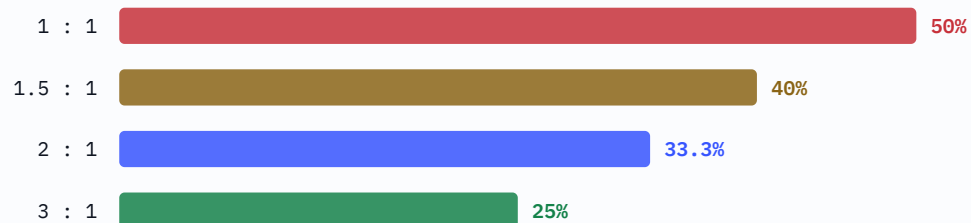
If you risk \$50 and make \$100, that trade is +2R. If you lose the planned \$50, it is -1R. Measuring in R removes account size from the picture, so you can compare trades, months and strategies fairly.

Expectancy = (win rate × average win in R) – (loss rate × average loss in R). A strategy that wins 40% at +2R and loses 60% at -1R has an expectancy of $0.4 \times 2 - 0.6 \times 1 = +0.2R$ per trade.

The win rate you actually need

Break-even win rate by reward-to-risk

BEFORE COSTS



Break-even win rate = $1 \div (1 + \text{reward})$. At 3:1 you can lose three trades out of four and still break even.

Costs matter. Spread and commission reduce every win and increase every loss, so the real break-even win rate is a little higher.

KEY TAKEAWAYS

- Record every trade in R.
- Expectancy tells you if the strategy works; one trade does not.
- Higher reward-to-risk lowers the win rate you need.

COMMON MISTAKES

- Judging a strategy on a handful of trades.
- Chasing a high win rate with tiny targets.
- Ignoring costs in the calculation.

PSYCHOLOGY CHECK

When you think in R, a single loss is just -1R in a long series. That is how you stop taking losses personally.

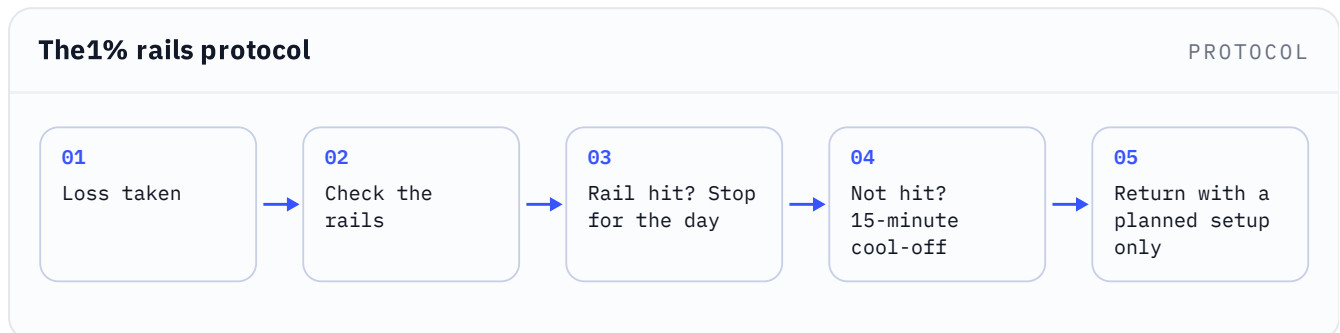
PRACTICE TASK

Calculate your expectancy from your last 30 trades in the journal. Is it positive after costs?

Daily rails: loss limit, trade cap and cool-off

Rails are rules that stop trading for you before emotion can. They turn a bad day into a small, planned loss.

The three rails



- Daily loss limit: stop trading for the day at -2R or -2% (half that on prop challenges).
- Trade cap: a maximum number of trades per day, for example three. Overtrading usually starts after the third trade.
- Cool-off: after any loss, 15 minutes away from the screen before the next decision.

Weekly and monthly limits

Add a weekly limit (for example -5R) and a monthly one (-8R). Hitting a larger limit means a review, not just a pause: reduce risk, go back to the journal, and find what changed.

KEY TAKEAWAYS

- Rails are decided in advance, not in the moment.
- Daily loss limit, trade cap and cool-off work together.
- Bigger limits trigger a review, not just a break.

COMMON MISTAKES

- Setting rails and ignoring them 'just this once'.
- Setting the daily limit so wide it never triggers.
- Trading a new setup straight after a loss.

PSYCHOLOGY CHECK

The moment you most want to keep trading is the moment the rail exists for. Rails are a promise to yourself, made when you were thinking clearly.

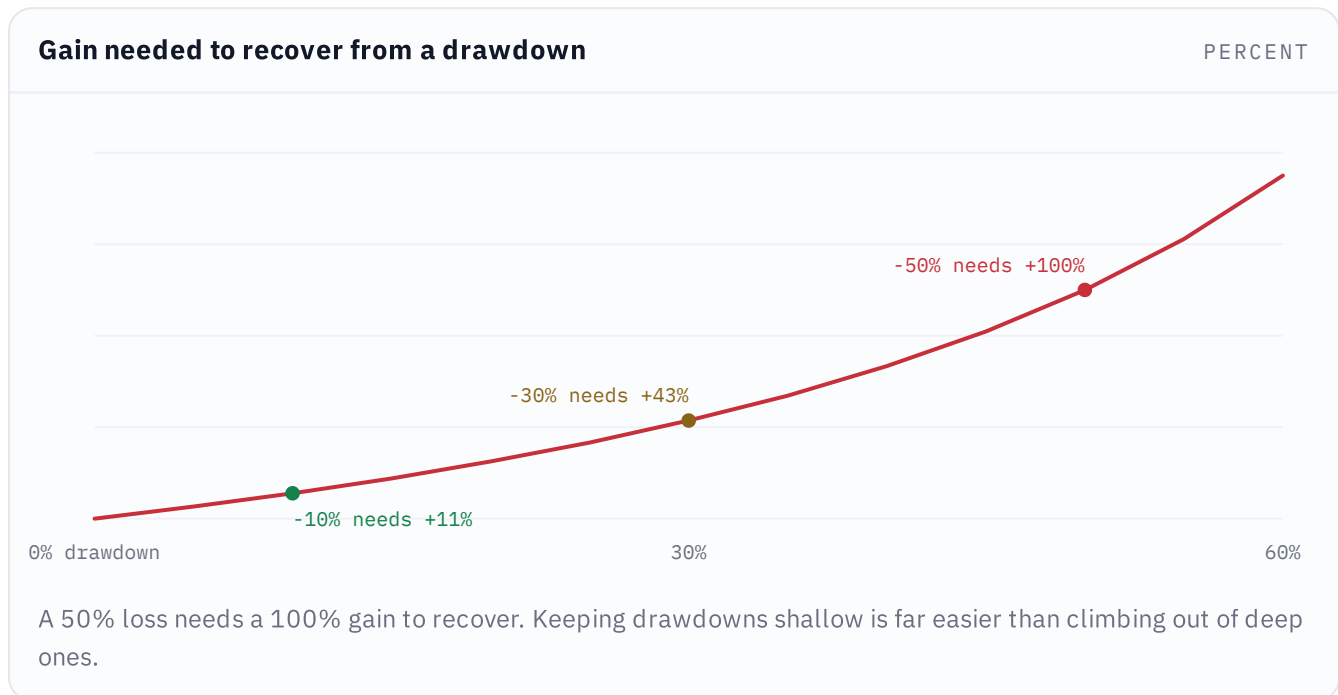
PRACTICE TASK

Write your daily, weekly and monthly limits. Put them where you can see them while you trade.

Drawdown, recovery maths and step-down sizing

Losses and recoveries are not symmetrical. The deeper the drawdown, the harder the climb back, which is why you cut size before it gets deep.

The recovery curve



Step-down sizing

- At -5% from the account peak: cut risk per trade in half (1% to 0.5%).
- At -10%: cut again to 0.25% and trade only A-grade setups.
- Return to normal risk only after recovering half of the drawdown.
- Never increase risk to recover faster.

Step-down sizing makes the curve bend the right way: losses get smaller as the drawdown deepens, while your edge keeps working.

KEY TAKEAWAYS

- Losses and gains are not symmetrical.
- Cut risk as the drawdown deepens.
- Recover first, then return to normal size.

COMMON MISTAKES

- Doubling risk to win it back.
- Measuring drawdown from the starting balance instead of the peak.
- Returning to full size after one good trade.

PSYCHOLOGY CHECK

Drawdown is when fear and hope are loudest. A written step-down plan means you only have to follow it, not invent one under pressure.

PRACTICE TASK

Write your step-down plan with exact drawdown levels and risk per trade at each. Add it to your trading plan.

Your notes

Write what you saw in the market while doing the practice tasks: the instrument, the date, what the lesson predicted and what actually happened.

Test yourself

10 questions. Aim for 80% or better, then take the quiz online for your certificate.

1. Why do professional traders risk around 1% per trade?

- A. Brokers require it
- B. It keeps normal losing streaks survivable
- C. It guarantees profit
- D. It reduces spreads

2. After 10 losses in a row at 10% risk per trade, about how much of the account is left?

- A. 90%
- B. 65%
- C. 35%
- D. 0%

3. \$5,000 account, 1% risk, 25-pip stop, \$10 per pip per lot. The size is...

- A. 2.0 lots
- B. 0.5 lots
- C. 0.2 lots
- D. 0.02 lots

4. When the stop needs to be wider, you should...

- A. Keep the same lot size
- B. Reduce the position size so the risk stays the same
- C. Skip the stop
- D. Double the risk

5. A structure stop goes...

- A. At a round number of pips
- B. Beyond the level where the idea is proved wrong, plus a buffer
- C. At the entry
- D. Anywhere that feels safe

6. Once a trade is live, a stop may...

- A. Move further away
- B. Only move closer, in your favour
- C. Be removed
- D. Be doubled

7. 40% win rate, +2R wins, -1R losses. Expectancy is...

- A. -0.2R
- B. 0R
- C. +0.2R
- D. +0.8R

8. At a 3:1 reward-to-risk, the break-even win rate is...

- A. 50%
- B. 33%
- C. 25%
- D. 10%

9. Which is NOT one of The1% daily rails?

- A. Daily loss limit
- B. Trade cap
- C. Cool-off after a loss
- D. Doubling size after a loss

10. A 50% drawdown needs what gain to recover?

- A. 50%
- B. 75%
- C. 100%
- D. 150%

Answers and explanations

#	ANSWER	WHY	REVIEW
1	B. It keeps normal losing streaks survivable	Small risk keeps drawdowns shallow during streaks.	Lesson 1
2	C. 35%	0.9 to the power of 10 is about 0.35.	Lesson 1
3	C. 0.2 lots	$50 \div (25 \times 10) = 0.2$ lots.	Lesson 2
4	B. Reduce the position size so the risk stays the same	The money at risk stays fixed; the size adjusts.	Lesson 2
5	B. Beyond the level where the idea is proved wrong, plus a buffer	The stop belongs where the idea fails.	Lesson 3
6	B. Only move closer, in your favour	Widening a stop turns a planned loss into an unplanned one.	Lesson 3
7	C. +0.2R	$0.4 \times 2 - 0.6 \times 1 = +0.2R$.	Lesson 4
8	C. 25%	$1 \div (1 + 3) = 25\%$.	Lesson 4
9	D. Doubling size after a loss	Doubling after a loss is revenge trading, the opposite of a rail.	Lesson 5
10	C. 100%	Half the account must double to get back.	Lesson 6

Keep going

Finished the workbook? Enroll in the next masterclass in the The1% Academy, log every practice trade in the journal, and review your results in R every week.

The1% Academy study material, written for The1% members. For education only; not financial advice. Trading leveraged products such as forex, CFDs and crypto carries a high risk of losing money. Past results do not guarantee future results.